

levels and multiple currencies. The 18 percent volatility strategy has achieved an average annual compounded net return of 14.8 percent (22.3 percent gross) over a near 20-year period, with an annualized standard deviation of 14.6 percent (16.0 percent on gross return data). The most impressive aspect of Bridgewater's performance has been the firm's ability to generate strong returns on huge assets under management. It is one thing for a hedge fund strategy to achieve strong return/risk performance on \$50 million, or \$500 million, or even \$5 billion, but to do so on \$50 billion is truly astounding. (Fifty billion dollars is the approximate assets under management Bridgewater had in its Pure Alpha strategy during 2010 when it recorded its highest annual return ever.)

Ray Dalio is a big picture thinker. Question: What one word might best describe Dalio's view of an economic model based on a thorough analysis of the entire 67-year post-World War II U.S. economy? Answer: Myopic. Dalio describes his approach as "timeless and universal." He believes an economic model should encompass multiple times and countries. Bridgewater employs a fundamentally based computer model that incorporates trading rules gleaned from both Dalio's four decades of market observations as well as Bridgewater's analysis of markets going back hundreds of years and spanning a broad range of developed and emerging economies.

Dalio named his flagship fund *Pure Alpha* to differentiate it from the majority of hedge funds he considers primarily beta vehicles. Dalio has been critical of hedge funds that derive most of their return from beta, but charge the higher fees associated with hedge funds on their entire return, even though the beta-derived portion can be duplicated by passive long investments. Beta measures how much an investment varies given changes in a benchmark market (e.g., S&P 500). Essentially, beta-based returns are returns that are earned by assuming various risks, most commonly market direction risk.¹ In contrast, alpha refers to skill-based returns, which by definition are not correlated to any market or risk factor. The name of Bridgewater's flagship fund, Pure Alpha, leaves little doubt as to the type of return it seeks to capture. True to its name, Pure Alpha has had near zero correlation to equities and fixed income and very low correlation (0.10) to hedge funds.